Anaconda Copper Mining Company Debenture 7s, due 1938, were issued in the amount of $50,000,000. The first $10,000,000 presented were convertible into common stock at $53 per share; the second $10,000,000 were convertible at $56; the third at $59; the fourth at $62, and the final lot at $65. An $8,000,000 issue of Hiram Walker-Goderham and Worts 4¼s, due 1945, was convertible as follows: at $40 per share for the first $2,000,000 block of bonds; at $45 per share for the next block of $2,000,000; the third block at $55; and the final block at $60 per share.

*Sliding Scale Based on Time Intervals.* The former type of sliding scale, based on time intervals, is a readily understandable method of reducing the liberality of a conversion privilege. Its effect can be shown in the case of Porto Rican-American Tobacco Company 6s, due 1942. These were convertible into pledged Congress Cigar Company, Inc., stock at $80 per share prior to January 2, 1929, at $85 during the next three years and at $90 thereafter. During 1928 the highest price reached by Congress Cigar was 87¼, which was only a moderate premium above the conversion price. Nevertheless a number of holders were induced to convert before the year-end, because of the impending rise in the conversion basis. These conversions proved very ill-advised, since the price of the common fell to 43 in 1929, against a low of 89 for the bonds. In this instance, the adverse change in the conversion basis not only meant a smaller potential profit for those who delayed conversion until after 1928 but also involved a risk of serious loss through inducing conversion at the wrong time.

*Sliding Scale Based on Extent Privilege Is Exercised.* The second method, however, based on the quantities converted, is not so simple in its implications. Since it gives the first lot of bonds converted an advantage over the next, it evidently provides a *competitive* stimulus to early conversion. By so doing it creates a conflict in the minds of the holder between the desire to retain his senior position and the fear of losing the more favorable basis of conversion through prior action by other bondholders. This fear of being forestalled will ordinarily result in large-scale conversions as soon as the stock advances moderately above the initial conversion price, *i.e.*, as soon as the bond is worth slightly more than the original cost. Accordingly, the price of the senior issue should oscillate over a relatively narrow range while the common stock is advancing and while successive blocks of bonds are being converted.